

AML and Watchlist Screening Policy

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1. Sanctions and PEP Watchlist Screening

Every beneficiary and counterparty is screened against the current sanctions list and Politically Exposed Persons (PEP) register before a transaction clears. A positive match blocks the transaction pending manual Compliance review -- this is a hard stop, not a scoring signal.

2. High-Risk Merchant Category List

Transactions to merchants on the High-Risk Merchant Category List add +40 points to the transaction's risk score. The list is reviewed and republished quarterly by the Fraud & AML desk.

2.1 Current High-Risk Categories

- Unlicensed/offshore forex remittance services
- Unregistered crypto-asset exchanges
- Unverified peer-to-peer marketplace sellers
- Short-term/payday lending platforms not on the approved partner list

3. Cross-Border and Geo-Mismatch Escalation

A transaction originating from an IP location outside the customer's registered home country adds +40 points to the risk score. If the origin country is on the Enhanced Monitoring Jurisdictions list, the transaction is additionally routed for mandatory Level-2 review regardless of total score.

4. Beneficiary Risk Scoring

A beneficiary account that has itself been flagged in 3 or more prior confirmed-fraud cases in the preceding 12 months is treated as a high-risk beneficiary -- any transaction to that beneficiary adds +25 points, independent of the sending account's own history.